

WDH pitch deck

PITCH — WDH — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Stay flat today. Waterdrop is not a liquidity trap — the court killed that branch — but no money goes in until one specific annual-report note is read: the nature of the RMB ~1,985M in long-term debt investments that make up 69% of the advertised “cash position.” If that note is clean, a small starter (~0.5% of book) near \$1.00 is justified on the benches’ own math; if it shows wealth-management products, trust paper, or related-party lending, this is never a position.

What we believe

Waterdrop (WDH), a Chinese insurance broker listed in the US since 2021, trades at \$1.00 — down 54% from its 52-week high of \$2.18 and just 4% off its low of \$0.96. Our original working thesis was that the stock is a value trap: that the advertised RMB 2,880.7M “cash position” was mostly restricted customer money, that unrestricted liquidity had collapsed ~46%, and that investment income had been killed. **The court refuted all three of those claims against the primary source.** What survives is a different, narrower bear case: the company’s growth is rented. Selling and marketing expense tripled year-over-year (RMB 541.1M vs 172.4M, of which RMB 361.4M was paid to third-party traffic channels), and for every incremental RMB of revenue, only 0.8 cents reached operating profit. The company remains profitable (17 consecutive profitable quarters), is buying back stock and paying a dividend, and its balance sheet is honestly presented — but the growth engine is expensive and the deep-value case rests on an unread disclosure.

What the market believes

At \$1.00 the market prices Waterdrop at roughly 0.49× book value and ~5.9× enterprise value to operating profit — near-liquidation pricing typical of small Chinese ADRs. The market is implicitly saying some combination of: the cash isn’t real or isn’t reachable, the growth spend won’t earn a return, and/or China-listing risk deserves a permanent discount. A widely-circulated data-vendor series showing “unrestricted liquidity down 46%” supports the bearish framing — but the court traced it and found it wrong (it ignored RMB 2.08 billion of long-term investments; actual cash and equivalents *rose* from 483.0 to 751.9 in Q1). The finance chief’s resignation in July (effective 7/31, personal reasons, explicit no-disagreement language, an internal successor-signer in place) adds texture to the bear mood without substance.

Why we might have edge

- **We read the actual balance-sheet table; much of the market apparently hasn’t.** The Q1 2026 release ([primary source](#), [PR Newswire](#)) states verbatim that the “cash position” *excludes*

restricted cash — the RMB 935.4M restricted balance sits separately and tracks insurance premium payables (RMB 1,009.0M), i.e., properly segregated customer float, not hidden inside the headline. The most damaging bear claim is disprovable in public print.

- **We closed the “mystery income decline” the vendors couldn’t.** The ~RMB 16M below-the-line swing decomposes into three small items (other-income swing –11.8M, FX –2.1M, a new equity-investee loss –2.2M) — none is a distressed-liquidation signature.
- **We know exactly which single fact decides the trade.** Not sentiment, not the print: the annual-report note describing what the RMB ~1,985M of long-term debt investments actually are. That is a one-document gate with a binary outcome.

Why it might be priced in

Honesty requires the symmetric view: 0.49× book for a Chinese broker with tripling customer-acquisition costs may simply be *fair*, not cheap. The correct “hard cash” comparison is cash plus short-term investments of ~US\$130M — not the US\$417.6M headline — against a company that just added RMB 227.7M of new short-term borrowings while sitting on that supposed cash pile (a classic tell worth respecting until explained). The buyback support is weaker than it first appears: the US\$120.1M figure is cumulative program-to-date since inception, not recent activity; the live shareholder-return proof is only the US\$10.8M dividend. And 69% of the cash floor is in instruments whose nature we have not been able to read (SEC access blocked repeatedly this session). If that note reveals reach-for-yield paper, the market’s discount was right and we were slow.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Cash position is mostly restricted customer money” (our original thesis #1)	Direct fetch of full Q1-26 release balance-sheet table (PR Newswire + StockTitan mirror)	Restricted cash (935.4) is <i>excluded</i> from the 2,880.7 headline; it tracks premium payables — segregated float	REFUTED — our own thesis was wrong
“Unrestricted liquidity fell 46%” (vendor series we initially credited)	Same primary, line-by-line	Cash rose 483.0→751.9; short-term investments 530.7→143.8 was rotation vs long-term 2,284.1→2,076.8; vendor ignored RMB 2.08B	REFUTED — our sourcing erred
“Investment income killed” (our thesis)	Primary P&L bridge	Interest income fell only RMB 4.7M; the –16.1M residual = three small non-recurring-looking items, fully identified	REFUTED in magnitude
Growth is rented / margin break	Primary P&L	S&M +213.8% y/y; RMB 361.4M third-party traffic; incremental operating margin 0.8%	CONFIRMED — the surviving bear leg
“Borrowed RMB 274.7M against its cash pile” (our first bench)	Second bench recheck vs prior-period balance	Increment was +227.7M (47.0→274.7), not a fresh 274.7M borrow — our first bench overstated it	Corrected; tell still stands, reduced

Claim	How checked	Found	Confirmed?
“US\$120.1M of buybacks = strong recent offshore-cash proof” (our first bench)	Second bench read of the disclosure date basis	Figure is cumulative program-to-date as of 2026-05-31 — our first bench misframed it ; only the US\$10.8M dividend is current proof	Corrected downward
Our first bench also transcribed the drawdown as +54.1% vs the pack’s −54.1%	Runner integrity check + second-bench audit	Formatting artifact only; no finding was distorted by it	Logged as bench error, no impact
“The court was convened on an already-answered question” (first bench’s strongest kill)	Second bench	Half right: the restricted-cash split <i>was</i> public; but the operating-cash-flow ask was genuinely unanswerable (release has no cash-flow statement) — first bench overclaimed	Partially corrected
Finance-chief resignation	Resignation 6-K + press coverage	VP-level, personal reasons, no-disagreement language, internal signer in place	Confirmed as texture only
Fraud/pump archetype screen for small Chinese ADRs	Pattern detectors	Inverse profile: 5 years listed, at lows, buybacks + dividend, 17 profitable quarters	Did not fire
Live broker quote / positioning depth	Broker API	Permission-blocked this session — Yahoo tape stands unverified against a live book	NOT confirmed — coverage gap
Nature of RMB ~1,985M long-term debt investments; insurer-partner concentration	Attempted SEC fetch of FY25 annual report (filed 2026-04-28)	Blocked (403 errors persisted all session)	NOT confirmed — the decisive open item

PROPOSED ENTRY BANDS

The court’s verdict is **no entry today** — so these are **reopen bands**, armed on one condition:

- **The gate (must clear first):** Read the FY25 annual report (20-F, filed 2026-04-28) note on the RMB ~1,985M long-term debt investments, plus the insurer-partner concentration disclosure. Clean (bank deposits, government/high-grade corporate bonds, no related parties) → the reopen bands below go live. Dirty (wealth-management products, trust paper, related-party loans) → **permanent no-position; close the file.**
- **Starter zone (gate cleared): \$0.96–\$1.10.** Buy a starter of **~0.5% of book** (~\$1.00 reference; $0.49 \times$ book value, $\sim 5.9 \times$ EV/operating profit per the benches’ math). This is a fairly-priced-risk starter, not a conviction position — the growth-quality bear leg is confirmed and caps sizing.
- **New-low rule: below \$0.96** (the 52-week low), any touch triggers **re-review, never an automatic buy** — falling-knife discipline; a fresh low while we’re flat means the market may know the note’s contents before we do.
- **No add before the Q2 print (~2026-09-02, unconfirmed)** even if the gate clears — the surviving bear case (0.8% incremental operating margin) is exactly what a quarterly print tests.

First add considered only after Q2 shows selling-and-marketing intensity stabilizing or improving.

- **Exit/kill after entry:** any disclosure reclassifying the long-term debt investments, any restricted-cash balance falling below insurance premium payables, or a second consecutive quarter of near-zero incremental operating margin with S&M still growing → exit the starter.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 0.96 (deck-provisional: 52-week-low breach while flat forces re-review, never an automatic buy)
- filing watch: 6-K until 2027-02-07 (deck-provisional: Q2 results and any long-term-investment reclassification arrive as 6-K filings)
- dated pack WDH|2026-09-02: WDH: Q2 2026 earnings (vendor-derived date; no company PR confirms it) (date confirmed=False)

What remains unverified

1. **The nature, credit quality, and counterparties of RMB ~1,985M in long-term debt investments** — 69% of the advertised cash position. SEC access failed all session (persistent 403s). This is the decisive open item; everything else is sized around it.
2. **Operating cash flow for Q1 2026** — the release contains no cash-flow statement, so the RMB 98.4M net profit has no cash-conversion check until the next full filing.
3. **Insurer-partner concentration** — whether one or two insurance carriers dominate the brokerage revenue; needs the same annual report.
4. **The Q2 earnings date (2026-09-02)** — vendor-derived, no company press release found naming it.
5. **Live tradability and crowding** — broker API was permission-blocked; the \$1.00 tape is from Yahoo end-of-day data only, and at this price the stock may have wide spreads and thin depth.
6. **Whether the small below-the-line items (equity-investee loss, other-income swing) recur** — bridged and identified, but only one quarter of evidence.

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